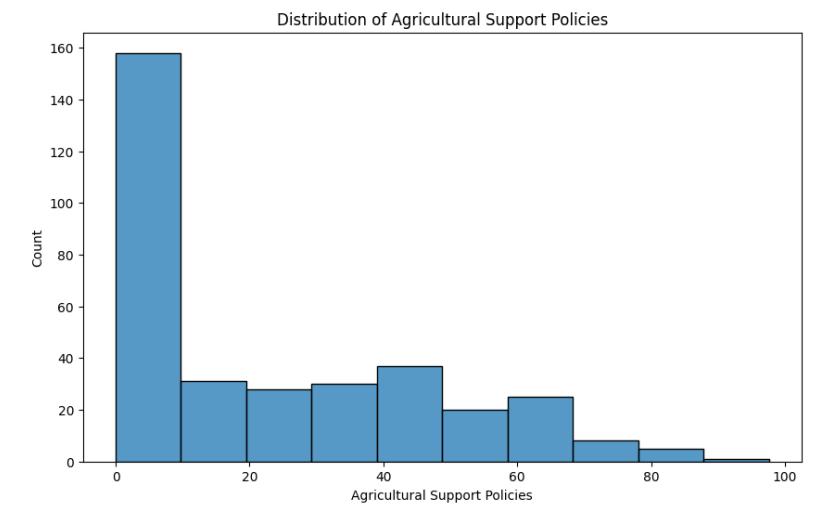
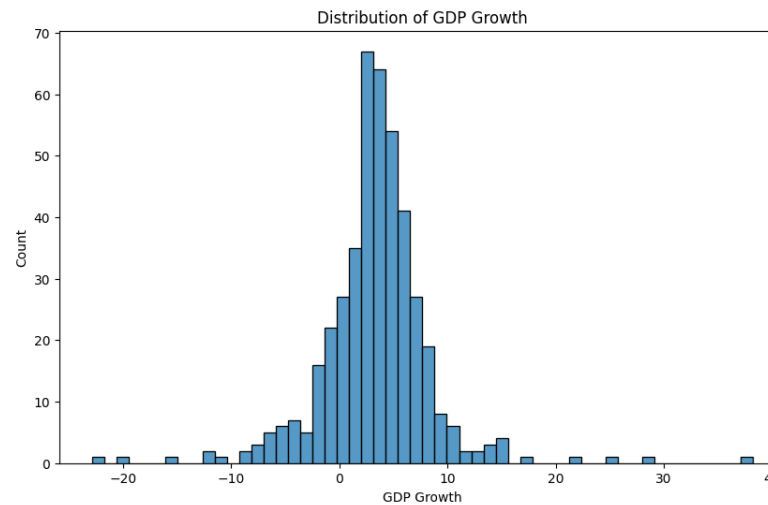
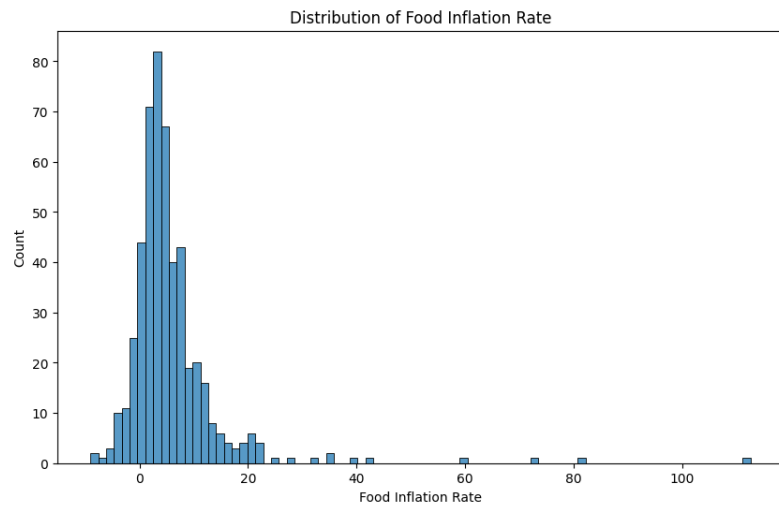
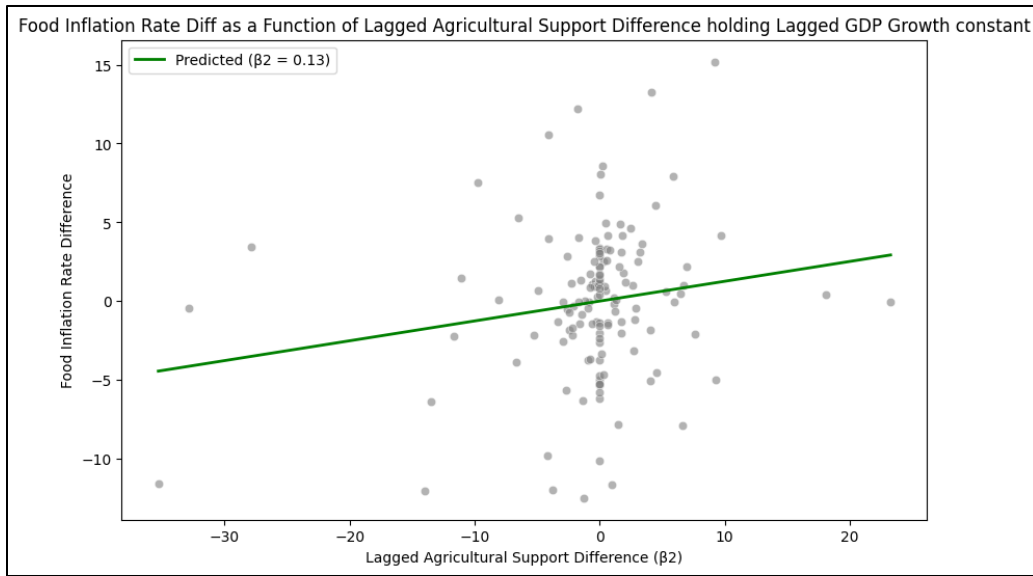


Does government support of agriculture and GDP growth affect the food inflation rate?

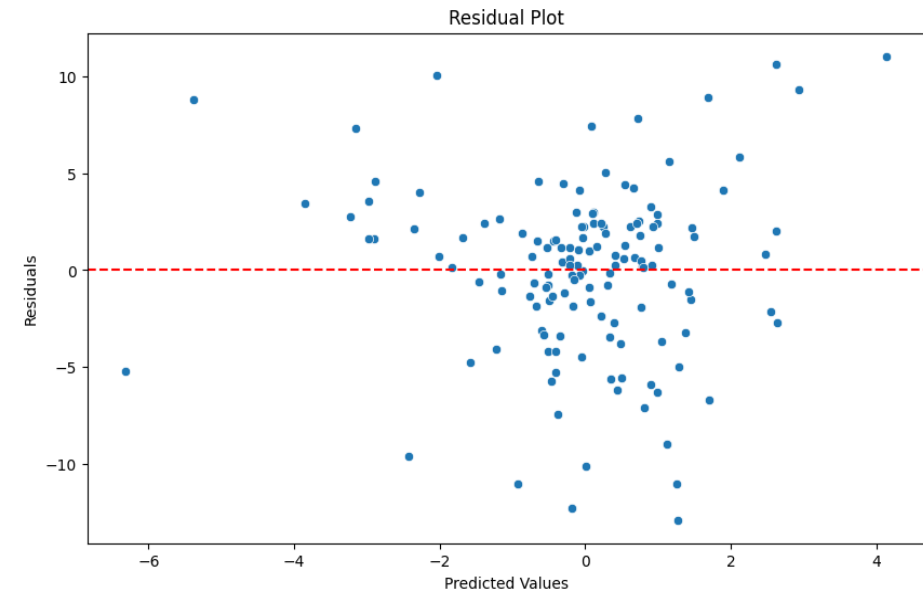
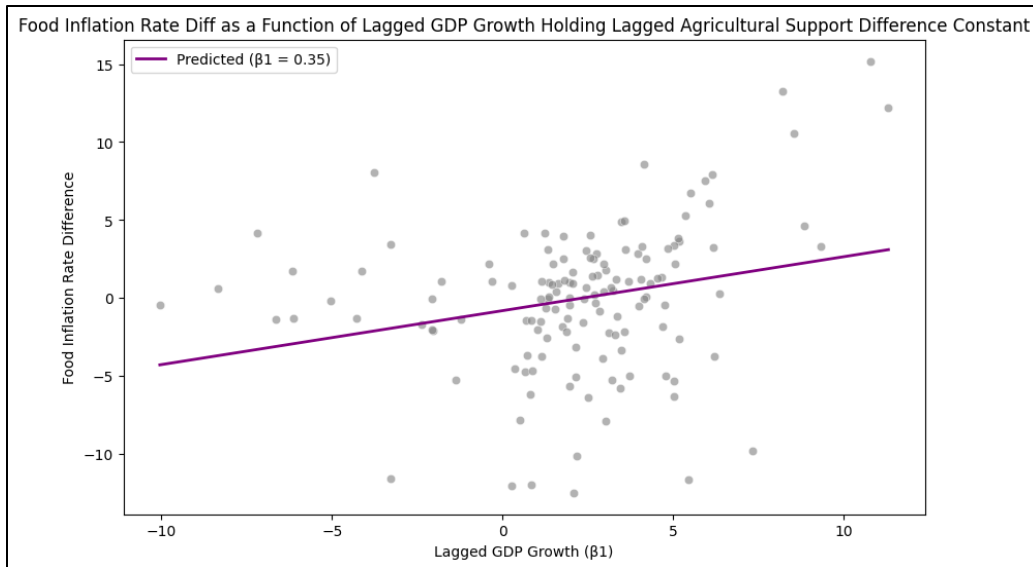


$$\Delta \text{ Food Inflation Rate} = \beta_0 + \beta_1 \times \text{Lagged GDP Growth} + \beta_2 \times \text{Lagged Agricultural Support} + \epsilon$$



Every 1-unit increase of agricultural support difference from the prior year is associated with a **0.1258 food inflation rate change** in the current year **holding the prior year's GDP growth constant.** (p value = 0.034)

Every 1% increase in the prior year's GDP Growth is associated with a **0.3457 food inflation rate change** in the current year **holding the prior year's change in agricultural support constant.** (p value = 0.002)



Conclusion: GDP growth and change in the number of agricultural support policies are both associated with a change in food inflation rate.